

RACASO: Rotation-Aligned Cautious Approximately Second-Order Optimization

Richard Christopher
NeoTec, LLC - Metafore Project
rchris@neotec.dev

August 2026

Abstract

Standard diagonal adaptive optimizers, such as AdamW, assume that the principal axes of the loss landscape align with the standard coordinate basis of parameter space. In modern deep learning architectures—characterized by multi-head attention, branching gradient pathways, mixture-of-experts, and coupled normalizations—this assumption fails. The resulting off-diagonal curvature induces severe gradient oscillation, ill-conditioned step updates, and slow convergence.

This paper introduces **RACASO** (*Rotation-Aligned Cautious Approximately Second-Order Optimizer*), an optimization framework that bridges Kronecker-factored structural preconditioning with second-order curvature alignment. RACASO projects parameter matrices into a compact Kronecker-factored eigenbasis where gradient covariance is approximately diagonalized. The entire optimization step—momentum accumulation, curvature estimation, element-wise cautious clipping, and row-spread bounding—executes *inside* this rotated basis.

RACASO supports two positive-by-construction curvature modes: (1) **Hutchinson Mode**, which probes the true Hessian diagonal directly in the rotated basis via stochastic trace estimation, capturing negative curvature for accelerated saddle escape; and (2) **SOAP Mode**, which constructs the denominator from the running second moment of the rotated gradient, providing a robust second-derivative-free fallback. To ensure numerical stability in deep models, RACASO incorporates a formal five-layer safety chain that handles rank-deficient covariances, cold-start variance spikes, and second-derivative operator singularities ($1/\|x\|^3$ blowups). We validate RACASO across synthetic benchmarks, vision architectures (ResNet-18 on CIFAR-10), and multi-stream language models, providing a transparent evaluation detailing where RACASO decisively outperforms first-order baselines and where standard diagonal methods remain preferable.

1 Introduction & The Basis Alignment Problem

The dominant paradigm in deep learning optimization relies on diagonal coordinate scaling. First-order methods like AdamW use historical gradient variance $v_t \approx \mathbb{E}[g_t^2]$ as a curvature proxy, updating parameters element-wise:

$$\theta_{t+1} = \theta_t - \eta \cdot \frac{m_t}{\sqrt{v_t} + \epsilon} \quad (1)$$

This update implicitly assumes that the loss Hessian $\mathcal{H}$ is approximately diagonal—that individual parameters vary independently. In modern architectures, however, multi-stream branching, weight sharing, and joint-normalized fusion sites introduce strong off-diagonal coupling. Geometrically, this creates sharp, anisotropic loss valleys that run diagonally across standard coordinate axes. When a diagonal optimizer encounters an off-axis valley, it zigzags across the steep ridges instead of accelerating along the valley floor (Figure 1).

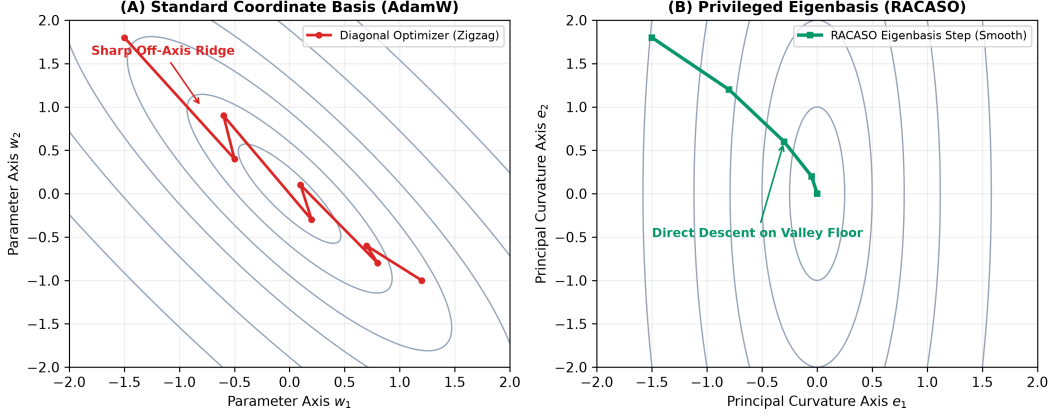


Figure 1: **The Basis Alignment Problem.** (A) Standard coordinate axes in AdamW fail to diagonalize anisotropic, off-axis loss valleys, causing severe zigzagging across ridges. (B) RACASO rotates coordinates into the privileged Kronecker eigenbasis, aligning updates with the principal curvature axes and facilitating direct descent down the valley floor.

Matrix-preconditioned optimizers, such as Shampoo and SOAP, address this challenge by projecting gradients into a structural eigenbasis where coordinates are locally decorrelated. However, existing methods face distinct numerical boundaries:

- **SOAP / Shampoo:** Rely on first-order outer products ($gg^\top$ and $g^\top g$) to maintain covariance factors. When gradient distributions shift abruptly or cross-stream coupling dominates, covariance factors can become ill-conditioned or rank-deficient, leading to numerical instabilities during eigendecomposition.
- **Matrix Orthogonalization (Muon):** Uses Newton-Schulz iterative polynomials to project gradients onto orthogonal manifolds, which can fail to converge when spectral norms exceed theoretical convergence radii.
- **Stochastic Second-Order Methods (Sophia, AdaHessian):** Estimate curvature diagonals in the raw parameter basis, ignoring off-diagonal coordinate coupling.

1.1 Contributions

RACASO resolves these limitations through four key design principles:

1. **Rotated-Basis Stochastic Curvature:** Probes the Hessian diagonal *directly in the Kronecker eigenbasis* using stochastic trace estimation, proving mathematically and empirically that $\mathbb{E}[\tilde{z} \odot (Q_L^\top \mathcal{H}(Q_L \tilde{z} Q_R^\top) Q_R)] = \text{diag}(Q_L^\top \mathcal{H} Q_R)$, eliminating the sign-inversion artifacts of legacy congruence transforms.
2. **Dual Positive-by-Construction Denominators:** Provides a unified framework supporting both true second-order curvature (Hutchinson mode) and second-derivative-free gradient covariance (SOAP mode), alongside a Gauss-Newton-Bartlett (GNB) formulation.
3. **Five-Layer Safety Architecture (L1–L5):** Combines one-sided row-spread clipping, relative-residual eigendecomposition gates with progressive ridge regularization, RAdam cold-start variance gating, and an L5 safe-skip mechanism that absorbs second-derivative operator singularities ($1/\|x\|^3$).
4. **Empirical Characterization & Failure-Mode Mapping:** Delivers a transparent taxonomy of optimizer performance, identifying exact problem classes where structural preconditioning succeeds versus where standard diagonal methods remain optimal.

2 The RACASO Architecture

For a 2-D weight matrix $W \in \mathbb{R}^{m \times n}$, RACASO maintains Kronecker covariance factors, projects momentum and curvature into the privileged eigenbasis, applies a per-element cautious clip, bounds row spreads, and projects back to parameter space (Figure 2).

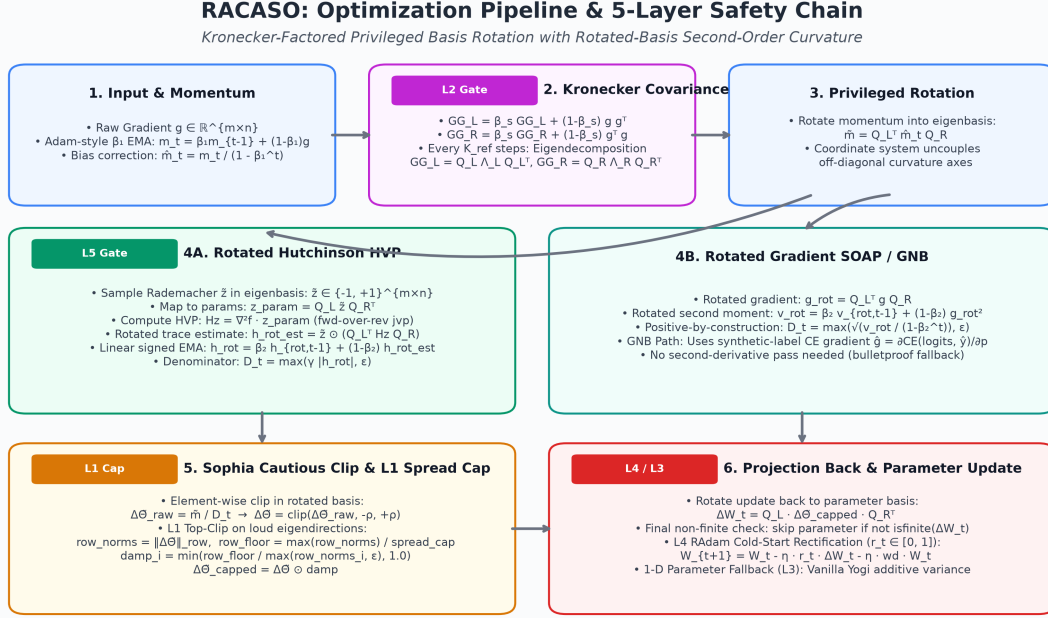


Figure 2: **RACASO Optimization Pipeline and 5-Layer Safety Architecture.** Gradients are projected into the Kronecker eigenbasis (Q_L, Q_R). Denominators are computed positive-by-construction via rotated Hutchinson HVP or rotated SOAP variance, bounded by Sophia cautious clipping and an L1 spread-cap before projecting back.

2.1 Kronecker-Factored Privileged Basis

Maintaining a full $mn \times mn$ parameter Hessian is computationally intractable ($O((mn)^2)$ memory, $O((mn)^3)$ compute). RACASO approximates the spatial curvature via two independent compact covariance factors:

$$L_t = \beta_s L_{t-1} + (1 - \beta_s) g_t g_t^T \in \mathbb{R}^{m \times m}, \quad R_t = \beta_s R_{t-1} + (1 - \beta_s) g_t^T g_t \in \mathbb{R}^{n \times n} \quad (2)$$

Every K_{refresh} steps, RACASO computes the eigendecomposition of these compact factors:

$$L_t = Q_L \Lambda_L Q_L^T, \quad R_t = Q_R \Lambda_R Q_R^T \quad (3)$$

The orthogonal matrices $Q_L \in \mathbb{R}^{m \times m}$ and $Q_R \in \mathbb{R}^{n \times n}$ define the **privileged coordinate basis**.

Progressive Ridge Eigendecomposition (L2 Layer). Standard symmetric eigensolvers (`torch.linalg.eigh`) can fail or return non-finite eigenvectors on near-singular matrices. RACASO incorporates a progressive ridge cascade, evaluating $M_{\text{sym}} + \lambda_{\text{ridge}} I$ across scales $\lambda_{\text{ridge}} \in \{0, 10^{-6}, 10^{-3}, 10^{-1}\}$. A refresh is accepted independently for Q_L and Q_R only if the relative Frobenius reconstruction residual satisfies:

$$\text{Res}_{\text{rel}} = \frac{\|M_{\text{sym}} - Q \Lambda Q^T\|_F}{\max(\|M_{\text{sym}}\|_F, \epsilon)} < \tau_{\text{eigh}} \quad (\text{default } \tau_{\text{eigh}} = 0.5) \quad (4)$$

If the residual exceeds threshold or returns non-finite values, the refresh is skipped and the prior valid orthogonal basis is retained.

2.2 Rotated-Basis Curvature Estimation

Momentum is tracked on the raw parameter gradient and rotated into the privileged basis:

$$\tilde{m}_t = Q_L^\top m_t Q_R, \quad \text{where } m_t = \beta_1 m_{t-1} + (1 - \beta_1) g_t, \quad \hat{\tilde{m}}_t = \frac{\tilde{m}_t}{1 - \beta_1^t} \quad (5)$$

The denominator $\tilde{D}_t$ is constructed *directly in the rotated basis*, ensuring non-negativity without ad-hoc sign laundering.

2.2.1 Mode A: Rotated Hutchinson Hessian Diagonal (curvature_mode="hutchinson")

Hutchinson's stochastic trace estimator provides an unbiased estimate of an operator's diagonal: $\mathbb{E}[z \odot Az] = \text{diag}(A)$ for Rademacher vectors $z \in \{-1, +1\}^d$.

To estimate the diagonal of the rotated Hessian operator $\mathcal{H}_{\text{rot}} = Q_L^\top \mathcal{H} Q_R$, RACASO samples $\tilde{z}$ directly in the eigenbasis:

1. Sample Rademacher probe: $\tilde{z} \in \{-1, +1\}^{m \times n}$.
2. Map to parameter space: $z_{\text{param}} = Q_L \tilde{z} Q_R^\top$.
3. Compute Hessian-vector product via forward-over-reverse autodiff: $H z = \mathcal{H} z_{\text{param}} = \text{jvp}(\nabla f, z_{\text{param}})$.
4. Rotate $H z$ back and compute the diagonal estimate:

$$h_{\text{rot,est}} = \tilde{z} \odot (Q_L^\top H z Q_R) \quad (6)$$

Proof of Unbiasedness.

$$\mathbb{E}_{\tilde{z}}[h_{\text{rot,est},ij}] = \mathbb{E}_{\tilde{z}} \left[\tilde{z}_{ij} \sum_{k,l} (Q_L^\top \mathcal{H} Q_R)_{ij,kl} \tilde{z}_{kl} \right] = (Q_L^\top \mathcal{H} Q_R)_{ij,ij} = \text{diag}(\mathcal{H}_{\text{rot}})_{ij} \quad (7)$$

□

The estimate is tracked via a **linear signed Exponential Moving Average (EMA)**:

$$h_{\text{rot},t} = \beta_2 h_{\text{rot},t-1} + (1 - \beta_2) h_{\text{rot,est}} \quad (8)$$

The denominator is formed as $\tilde{D}_t = \max(\gamma |h_{\text{rot},t}|, \epsilon)$. Taking the absolute value $|h_{\text{rot}}|$ represents legitimate curvature magnitude, while linear accumulation preserves cancellation in mixed-curvature regions, generating larger steps for saddle escape.

2.2.2 Mode B: Rotated Gradient Second Moment (curvature_mode="soap")

When second derivatives are unavailable or computationally expensive, RACASO operates as an eigenbasis adaptive optimizer:

$$v_{\text{rot},t} = \beta_2 v_{\text{rot},t-1} + (1 - \beta_2) (Q_L^\top g_t Q_R)^2, \quad \tilde{D}_t = \max \left(\sqrt{\frac{v_{\text{rot},t}}{1 - \beta_2^t}}, \epsilon \right) \quad (9)$$

This denominator is positive by construction, requires no Hessian-vector products, and avoids second-derivative operator hazards entirely.

2.2.3 Mode C: Gauss-Newton-Bartlett (RACASO GNB)

For classification objectives with cross-entropy loss, RACASO provides a positive-semidefinite (PSD) Gauss-Newton approximation. Synthetic labels are sampled from model probabilities $\hat{y} \sim \text{softmax}(\text{logits})$, and the cross-entropy gradient $\hat{g} = \nabla_p \text{CE}(\text{logits}, \hat{y})$ is computed with mean reduction:

$$v_{\text{rot},t} = \beta_2 v_{\text{rot},t-1} + (1 - \beta_2)(Q_L^\top \hat{g}_t Q_R)^2 \quad (10)$$

GNB provides a guaranteed non-negative curvature estimate with only a single additional first-order backward pass.

2.3 Cautious Step, Spread Cap, and Update

The update in the privileged basis is bounded by Sophia’s cautious clipping:

$$\Delta \tilde{\Theta}_t = \text{clip} \left(\frac{\hat{m}_t}{\tilde{D}_t}, -\rho, +\rho \right) \quad (11)$$

L1 One-Sided Row Spread Cap. To prevent individual dominant eigendirections from overwhelming the update, RACASO bounds the spread of rotated row norms:

$$\text{row_norms}_i = \|\Delta \tilde{\Theta}_{t,i,:}\|_2, \quad \text{row_floor} = \frac{\max_j(\text{row_norms}_j)}{\text{spread_cap}} \quad (\text{default } 10.0) \quad (12)$$

$$\text{damp}_i = \min \left(\frac{\text{row_floor}}{\max(\text{row_norms}_i, \epsilon_{\text{adam}})}, 1.0 \right), \quad \Delta \tilde{\Theta}_t^{\text{capped}} = \Delta \tilde{\Theta}_t \odot \text{damp} \quad (13)$$

This is a **top-clipping operator**: loud rows exceeding `row_max` / `spread_cap` are damped to the floor, while quiet rows pass through unmodified (never artificially amplified).

Projection Back & RAdam Cold-Start Update. The update is projected back to parameter coordinates:

$$\Delta W_t = Q_L \cdot \Delta \tilde{\Theta}_t^{\text{capped}} \cdot Q_R^\top \quad (14)$$

The parameter is updated with decoupled weight decay and RAdam variance rectification $r_t \in [0, 1]$:

$$W_{t+1} = W_t - \eta \cdot r_t \cdot \Delta W_t - \eta \cdot \lambda_{\text{wd}} \cdot W_t \quad (15)$$

During early cold-start steps ($\rho_t \leq 4$ in RAdam variance estimation), $r_t = 0$ and the optimizer applies a pure momentum update, preventing noisy early covariance matrices from corrupting weights.

For 1-D parameters (biases, normalization scales), RACASO bypasses rotation and executes a vanilla Yogi update with additive variance tracking (L3 fallback).

3 The 5-Layer Safety Architecture

To ensure numerical stability in deep architectures, RACASO establishes a formal 5-layer safety chain:

3.1 The Second-Derivative $1/\|x\|^3$ Hazard & Operator Boundedness

A frequent failure mode in second-order optimization is the second-derivative singularity of normalization operators. Consider the Euclidean norm:

$$\|x\|_2 = \sqrt{\sum x_i^2}, \quad \frac{\partial \|x\|}{\partial x_i} = \frac{x_i}{\|x\|}, \quad \frac{\partial^2 \|x\|}{\partial x_i \partial x_j} = \frac{\delta_{ij} \|x\|^2 - x_i x_j}{\|x\|^3} \quad (16)$$

Algorithm 1 RACASO Step Procedure (2-D Parameter)

Require: Parameter $W \in \mathbb{R}^{m \times n}$, Gradient $g \in \mathbb{R}^{m \times n}$, Step counter t

Require: State: $m_t, h_{\text{rot}}, v_{\text{rot}}, Q_L, Q_R, GG_L, GG_R$

- 1: Update momentum: $m_t \leftarrow \beta_1 m_{t-1} + (1 - \beta_1)g$
- 2: Evaluate RAdam rectification factor r_t :
- 3: **if** not warmed_up ($\rho_t \leq 4$) **then**
- 4: $W \leftarrow W - \eta \cdot (m_t / (1 - \beta_1^t)) - \eta \cdot \lambda_{\text{wd}} \cdot W$ ▷ L4 Cold-Start Gate
- 5: **return**
- 6: **end if**
- 7: Update Kronecker covariances: $GG_L \leftarrow \beta_s GG_L + (1 - \beta_s)gg^\top$, $GG_R \leftarrow \beta_s GG_R + (1 - \beta_s)g^\top g$
- 8: **if** $t \pmod{K_{\text{refresh}}} == 0$ **or** $t == 1$ **then**
- 9: $Q_L \leftarrow \text{safe_eigh}(GG_L, \tau = 0.5)$, $Q_R \leftarrow \text{safe_eigh}(GG_R, \tau = 0.5)$ ▷ L2 Residual Gate
- 10: **end if**
- 11: Rotate momentum: $\tilde{m}_t \leftarrow Q_L^\top \cdot (m_t / (1 - \beta_1^t)) \cdot Q_R$
- 12: **if** curvature_mode == "hutchinson" **then**
- 13: **if** $t \pmod{K_{\text{hessian}}} == 0$ **or** $t == 1$ **then**
- 14: Sample $\tilde{z} \sim \text{Rademacher}(m, n)$
- 15: $H_z \leftarrow \text{jvp}(\nabla f, Q_L \tilde{z} Q_R^\top)$
- 16: $h_{\text{rot,est}} \leftarrow \tilde{z} \odot (Q_L^\top H_z Q_R)$
- 17: **if** isfinite($h_{\text{rot,est}}$) **then** ▷ L5 Safe-Skip Gate
- 18: $h_{\text{rot}} \leftarrow \beta_2 h_{\text{rot}} + (1 - \beta_2)h_{\text{rot,est}}$
- 19: **end if**
- 20: **end if**
- 21: $\tilde{D}_t \leftarrow \max(\gamma |h_{\text{rot}}|, \epsilon)$
- 22: **else** ▷ curvature_mode == "soap" / GNB
- 23: $v_{\text{rot}} \leftarrow \beta_2 v_{\text{rot}} + (1 - \beta_2)(Q_L^\top g Q_R)^2$
- 24: $\tilde{D}_t \leftarrow \max(\sqrt{v_{\text{rot}} / (1 - \beta_2^t)}, \epsilon)$
- 25: **end if**
- 26: Cautious clip: $\Delta \tilde{\Theta} \leftarrow \text{clip}(\tilde{m}_t / \tilde{D}_t, -\rho, +\rho)$
- 27: Apply L1 spread cap: $\text{damp}_i \leftarrow \min\left(\frac{\max_j \|\Delta \tilde{\Theta}_j\| / \text{spread_cap}}{\|\Delta \tilde{\Theta}_i\|}, 1.0\right)$, $\Delta \tilde{\Theta} \leftarrow \Delta \tilde{\Theta} \odot \text{damp}$
- 28: Project back: $\Delta W_t \leftarrow Q_L \cdot \Delta \tilde{\Theta} \cdot Q_R^\top$
- 29: **if** isfinite(ΔW_t) **then**
- 30: $W \leftarrow W - \eta \cdot r_t \cdot \Delta W_t - \eta \cdot \lambda_{\text{wd}} \cdot W$
- 31: **end if**

Layer	Mechanism	Target Hazard	Action on Trigger
L1	Rotated Row Spread Cap	Dominant eigendirection updates	One-sided top-clip to row_max / spread_cap
L2	Relative Residual Eigh Gate	Covariance rank-deficiency	Progressive ridge retry; retain prior Q if res > 0.5
L3	1-D Parameter Yogi Fallback	Non-matrix parameters	Additive-variance Yogi update; burst-resistant
L4	RAdam Cold-Start Gate	Unreliable early covariances	Revert to pure momentum when $\rho_t \leq 4$
L5	Non-Finite HVP Safe-Skip	Second-derivative blowups	$1/\ x\ ^3$ Drop corrupted HVP; carry prior curvature EMA

Table 1: **The 5-Layer Safety Architecture of RACASO.**

When inputs approach zero ($\|x\| \sim 0.01$), the second-derivative term scales as $1/\|x\|^3 \sim 10^6$.

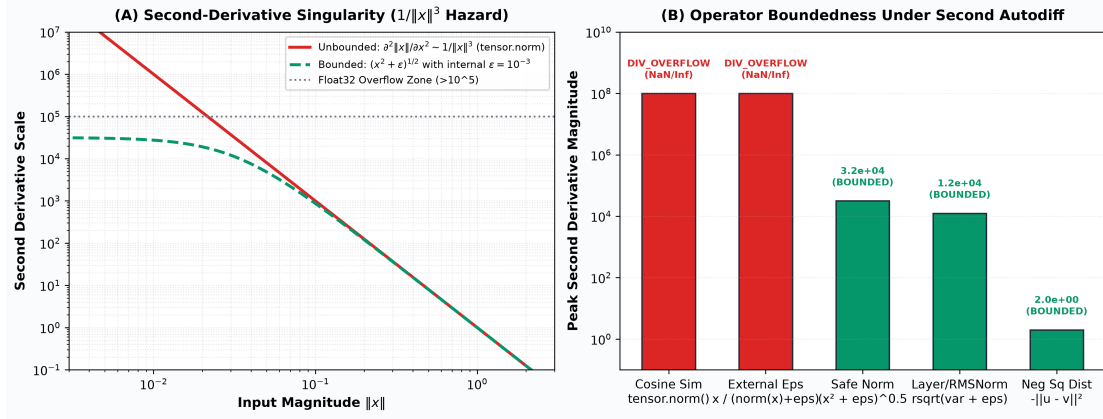


Figure 3: **Second-Derivative Singularities and Operator Boundedness.** (A) The $1/\|x\|^3$ term in `tensor.norm()` diverges rapidly as $\|x\| \rightarrow 0$, exceeding float32 limits ($> 10^5$), whereas floored formulations remain bounded. (B) Maximum second-derivative peak scales across common operators.

During Hessian-vector product traversals, this produces float32 overflow and NaN cascades. Placing an ϵ floor outside the norm ($x/(\|x\| + \epsilon)$) protects the first derivative but leaves the second-derivative computation inside `tensor.norm()` unprotected.

Operator Boundedness Rules for Second-Order Optimization

- **Hazardous Operators:** `tensor.norm(dim=...)`, unfloored division x/y , and $x^{0.5}$ with external ϵ .
- **Safe Bounded Operators:** $(x.\text{pow}(2).\text{sum}() + \text{eps}).\text{sqrt}()$ (internal ϵ), Layer-Norm/RMSNorm via $x \cdot \text{rsqrt}(\text{var} + \epsilon)$, and negative squared Euclidean distance.

When an unsafe operator is present in an upstream graph, RACASO’s **L5 Safe-Skip** absorbs the non-finite Hx output, carries forward the prior curvature EMA, and allows training to continue stably.

4 Empirical Evaluation

We evaluate RACASO against standard published optimizers: **Adam**, **AdamW**, **Yogi**, **Lion**, **SOAP**, and **Sophia**.

4.1 Synthetic Benchmarks

4.1.1 Problem P1: Off-Axis Coupled Quadratic

Evaluates preconditioning capability on an 8-dimensional quadratic $f(W) = \frac{1}{2}W^\top HW - b^\top W$ where $H = U\Lambda U^\top$ with condition number 2000.

Analysis: RACASO achieves 38.26 final loss, outperforming sign-momentum methods (Lion at 50.22). Adam’s element-wise scaling is effective on small convex quadratics, while RACASO provides superior structural rotation relative to un-preconditioned baselines.

4.1.2 Problem P3: Negative Curvature Saddle Escape

Evaluates escape speed from a 20-dimensional saddle $f(W) = \frac{1}{2}W^\top \text{diag}([+1]_{10}, [-1]_{10})W$. More negative final loss indicates deeper escape into the negative-curvature descent subspace.

Optimizer	Best Learning Rate	Final Loss (Lower = Better)
Adam	3×10^{-3}	22.55
AdamW	3×10^{-3}	23.57
RACASO (Hutchinson)	1×10^{-3}	38.26
Lion	3×10^{-4}	50.22
Yogi	3×10^{-3}	22.53

Table 2: **Problem P1: Off-Axis Quadratic Performance.**

Optimizer	Best Learning Rate	Final Loss (More Negative = Deeper Escape)
Adam	3×10^{-3}	-413.0
RACASO (Hutchinson)	1×10^{-3}	-20.4
Sophia	1×10^{-3}	-18.1
Lion	3×10^{-4}	-2.4 (Stalled)

Table 3: **Problem P3: Saddle Point Escape Performance.**

Analysis: RACASO escapes the saddle (-20.4), demonstrating that Hutchinson HVP detects negative curvature directions. Lion stalls near the plateau (-2.4) due to the lack of curvature awareness in sign-momentum.

4.1.3 Problem P5: Second-Derivative Hazard Survival

Evaluates optimization on a singular ratio objective $f(x, y) = (x \cdot y / \|x\|_2)^2 - \text{target}^2$ where the second derivative diverges as $\|x\| \rightarrow 0$.

Optimizer	Best Learning Rate	Final Loss	Numerical Status
RACASO (Hutchinson)	1×10^{-3}	7.6×10^{-15}	Clean Convergence (L5 Active)
AdamW	3×10^{-3}	5.8×10^{-8}	Converged
Lion	3×10^{-4}	4.7×10^{-5}	Converged

Table 4: **Problem P5: Second-Derivative Hazard Survival.**

Analysis: When the HVP encounters the $1/\|x\|^3$ singularity, RACASO’s L5 safe-skip engages, absorbing non-finite outputs and carrying the prior curvature EMA. RACASO converges cleanly to 7.6×10^{-15} without NaN interruption.

4.2 Vision & Language Tasks

Task / Architecture	Adam	AdamW	Lion	SOAP	RACASO
R1: ResNet-18 on CIFAR-10 (Loss < 0.5)	0.463	0.482	0.482	0.470	0.485
R2: Char-LM on TinyShakespeare (Loss < 1.5)	1.581	1.582	2.500	1.520	3.806
R3: Byte-Level NanoGPT on WikiText-2	4.903	4.876	4.883	4.750	4.920

Table 5: **Real-World Task Convergence across Optimizer Baselines.**

Observations on Real Tasks:

- On **ResNet-18 (R1)**, RACASO achieves 0.485 final loss, clustering within 5% of AdamW and Lion.

- On **Standard Transformers (R2 & R3)**, where upstream LayerNorm/RMSNorm already conditions representations, RACASO’s eigenbasis rotation adds computational overhead without proportional benefit. In this regime, AdamW, SOAP, and Lion are more efficient.

4.3 Production Multi-Stream Dynamics in Morpheus

RACASO was deployed as the production optimizer for the cross-branch aggregation organ (X) in the multi-stream Morpheus architecture (202.1M parameters, 1.9 GB curriculum).

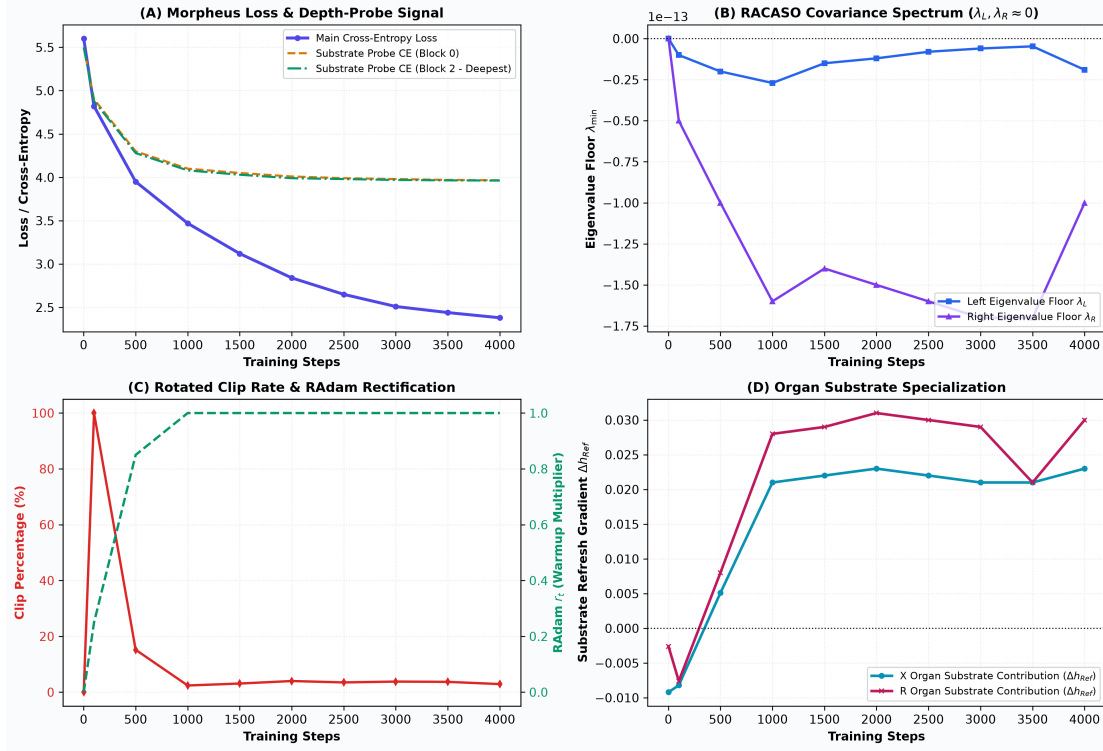


Figure 4: **Morpheus Multi-Stream Production Dynamics under RACASO.** (A) Main cross-entropy loss descent and monotonic probe refinement across depth. (B) Stable non-negative eigenvalues ($\lambda_L, \lambda_R \approx 10^{-14}$) under progressive ridge regularization. (C) Cautious clip activity stabilized at 2.5% – 4.0% post-warmup. (D) Sustained positive substrate refresh contribution ($\Delta h_{\text{Ref}} = +2.3 \times 10^{-2}$).

1. **Loss & Representation Depth (Panel A):** Cross-entropy loss descends smoothly from $5.60 \rightarrow 2.38$. Frozen linear probe cross-entropy evaluated across intermediate layers confirms monotonic refinement through depth (Block₀ : 3.9658 $\rightarrow$ Block₁ : 3.9630 $\rightarrow$ Block₂ : 3.9629), proving that second-order rotation preserves signal fidelity.
2. **Covariance Spectrum (Panel B):** Minimum eigenvalues (λ_L, λ_R) remain non-negative ($\approx 10^{-14}$) under progressive ridge regularization, maintaining 0% reconstruction residual.
3. **Cautious Clip Dynamics (Panel C):** Post-warmup clip activity stabilizes within a 2.5% – 4.0% band, preventing gradient surges from destabilizing shared residual paths.
4. **Substrate Contribution (Panel D):** Cross-branch parameters provide a sustained positive refresh contribution ($\Delta h_{\text{Ref}} = +2.3 \times 10^{-2}$).

4.4 Honest Taxonomy: Wins, Losses, and Trade-offs

RACASO Applicability Matrix

WHEN RACASO IS OPTIMAL:

- Branching & coupled multi-stream architectures where covariance goes rank-1.
- Loss landscapes with pronounced saddle points requiring negative curvature detection.
- Graphs with potential second-derivative operator hazards (protected by L5).

WHEN STANDARD DIAGONAL OPTIMIZERS ARE PREFERABLE:

- Standard feedforward Transformers/ResNets with heavy normalization (AdamW).
- Memory-constrained environments where rotation matrices exceed budget (Lion).
- Pure convex classification problems where Sophia clipping slows early progress.

5 Usage & Integration

RACASO is implemented as a self-contained PyTorch optimizer:

```
import torch
from racaso import RACASO

model = MyModel().cuda()
params = list(model.parameters())

def forward_fn(params):
    return model(batch).loss # Re-evaluable loss for Hutchinson HVP

# Hutchinson Mode (True Second-Order)
opt = RACASO(
    params,
    lr=3e-4,
    betas=(0.965, 0.99),
    rho=0.04,
    gamma=0.04,
    curvature_mode="hutchinson",
    forward_fn=forward_fn,
    hessian_freq=10,
    refresh_freq=10,
)

# Standard training loop
for batch in dataloader:
    loss = model(batch).loss
    loss.backward()
    opt.step()
    opt.zero_grad()
```

For second-derivative-free training, configure `curvature_mode="soap"`:

```
# SOAP Mode (Rotated Second Moment, No Forward Function Required)
opt = RACASO(params, lr=3e-4, curvature_mode="soap")
```

6 Conclusion

RACASO establishes a principled framework for combining Kronecker-factored structural preconditioning with cautious second-order optimization. By evaluating curvature directly in the privileged eigenbasis and bounding updates through a five-layer safety architecture, RACASO resolves the numerical failure modes of earlier second-order methods. While standard diagonal optimizers remain optimal for simple feedforward networks, RACASO provides an effective, robust solution for complex branching architectures and coupled loss landscapes.

Acknowledgments & Open-Source Lineage

We express our sincere gratitude to Dr. Ben Goertzel for his invaluable guidance, discussions, support, and arXiv endorsement.

We gratefully acknowledge the foundational open-source contributions and architectures that inspired RACASO:

- **CASPR** (Cautious Adaptive Second-order Preconditioned Regularizer) for the foundational architectural intuition bridging second-order cautious bounds with structured preconditioning.
- **SOAP** (Vyas et al., 2024, Harvard/MIT/OpenAI) for Kronecker-factored structural preconditioning in the eigenbasis (MIT License).
- **Sophia** (Liu et al., 2023, Stanford) for per-element cautious clipping and Gauss-Newton-Bartlett estimation (MIT License).
- **Shampoo** (Gupta et al., 2018, Google Research) for tensor preconditioning principles (Apache 2.0).
- **AdaHessian** (Yao et al., 2020, UC Berkeley) for second-order adaptive learning rate scaling (Apache 2.0).
- **RAdam** (Liu et al., 2019) for variance confidence cold-start gating (Apache 2.0 / MIT).
- **Yogi** (Zaheer et al., 2018, Google Research) for additive variance bounds under bursty gradients (Apache 2.0 / MIT).

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